

Core Value
Highlighted Holdings
3rd Quarter 2011

Leucadia National (LUK): Leucadia National, whose owner-operators Ian Cumming and Joseph Steinberg own 18.5% of shares outstanding, boasts a compound annual growth rate in book value of 19.6% since 1979 – one of the top performing portfolios of the modern era. In 2010, LUK recorded a 34.3% return on equity, yet the company currently trades at a 20% discount to book value. As was observed above, implicit in such a discount is the assumption that this particular book value will not generate any future profits and, accordingly, incorporates a liquidation scenario. Any company that is profitable and is expected to generate future profits is worth, upon arms-length sale, more than book value – it is a fact of business. In our view, returns such as those generated by LUK should command a substantial premium, and we believe that in the fullness of time the market value of the shares will reflect the intrinsic value of the diversified portfolio of financial, industrial and basic materials businesses.

Liberty Starz Group (LSTZA): Liberty Starz group is a major producer, developer and distributor of television and movie programming, operating 16 premium subscription channels, such as Starz and Encore. John Malone controls 4.9% of the shares and 31.2% of the voting power. Mr. Malone has a track record of repurchasing shares at opportune moments and making shrewd, accretive deals. The current cash balance of \$1.2 billion (equal to approximately one-third of the company's market capitalization) and stable, sustainable cash flow levels will allow him to do both, while still providing a wide margin of safety for investors. Mr. Malone recently walked away from contract renewal negotiations with Netflix to exclusively stream Starz content via the Internet, despite an offer from Netflix that is likely to have been over 10 fold greater than the legacy contract from 2008. As evidenced by recent deals struck by other content owners, the Starz content is deeply undervalued in Liberty Starz' current stock price. The stock currently trades not much above book value, indicating that little value is being paid by investors for the potential future earnings, and by our calculations at a single-digit multiple of earnings. In our view, not even the direst forecasts for consumer spending and cable subscriber growth can justify the current valuation of Liberty Starz given the cash "safety net," reliable cash flows, attractive contract renewal schedule and vested, long-term oriented owner-operator management.

Howard Hughes Corp (HHC): The Howard Hughes Corporation is a real estate company created by firms that committed capital to facilitate the reorganization of General Growth Properties. Brookfield Asset Management and its Chairman, William Ackman, control 15.8% of the shares outstanding (not including warrants). Mr. Ackman elected three executives to run HHC on a daily basis. Given their modest salaries, their primary compensation will be through 7-year warrants (for which they paid a combined \$19 million) that cannot be hedged for 6 years. The warrants are worthless if the shares do not exceed the exercise price, which is higher than the current share price. The shares trade at less than .80 times book value. This suggests that investors believe HHC will sustain negative earnings and/or be unable to realize the balance sheet values of the assets in liquidation. In fact, the assets are conservatively valued on the balance sheet. For instance, the South Street Seaport property in lower Manhattan is held at only \$3.1 million book value, compared to operating income of over \$5.0 million in 2010, and it has yet to be fully developed. The assets of HHC will take time to develop and monetize, however, management has been careful to limit asset sales at current depressed levels and to find strong strategic partners for the future property development. Due to the quality of assets, long-term vested management team and substantial discount to current market value, we believe that HHC represents an attractive long-term opportunity with a more than adequate margin of safety.

AutoNation (AN): AutoNation, the nation's largest new and used-car dealership, is led by owner-operator Ed Lampert. His holdings, along with those of his investment company, total more than half of the shares outstanding for the firm, which has retired over two thirds of its shares since 1998 (Edward Lampert became the firm's largest shareholder in 2001). Bill Gates owns 17% of the shares. Since 2007, the company has closed a fifth of its dealerships and a quarter of its franchises as part of its effort to remove underperforming locations. However, this also helps improve competitive and pricing conditions for when the market improves: there are 17% fewer new-car dealerships than in 2004, and industry-wide sales would have to rise about 35% to return to a normalized level. The company has the flexibility to change its focus in response to economic conditions. The current emphasis is on the higher margin "parts and service" segment, which accounted for 18% of revenue in 2010 but 45% of gross profit, allowing them to focus on servicing older cars during the recession. However, their business model will also allow them to redirect resources to new and pre-owned auto sales during a recovery. The current malaise in the auto industry has prompted many investors to overlook investment in the sector. We believe that AutoNation can generate over \$500 million in free cash flow – the current market capitalization is approximately 10x our expected free cash flow, and that figure improves each time shares are repurchased.

Brookfield Asset Mgt (BAM): Brookfield Asset Management is an asset management company focused on "real assets" and the generation of income primarily in office, power and infrastructure assets. These include assets as diverse as timberlands, the largest hydro-electric power plant portfolio in North America, and electricity transmission grids in South America, among many forms of hard asset investments. They are almost all long-term inflation beneficiaries. As an owner-operator, BAM commits company capital alongside investors and leverages its ability to access inexpensive long-term capital in order to increase return on equity. They are experts in their fields and were integral in the reorganization and management of General Growth Properties. As of September 30, Brookfield Asset Management shares traded at a 30% discount to their stated NAV per share. Understand that, despite the company's record of success, its continuing profitability and its well-ordered balance sheet, it is trading below liquidation value and, implicitly, as if it will not earn any future profits – which clearly it is earning. Clearly, aside from the return benefits of ongoing earnings and book value growth, the shares should trade at a premium to book value, as should all going-concerns companies that produce profits.

Jarden Corporation (JAH): Jarden Corporation is a consumer brands company that acquires and manages a variety of stable, long-lived cash flow brands including Sunbeam, Mr. Coffee, Ball, Coleman, Bionaire, CrockPot, Volki, Oster, and First Alert. A great number of their products, including Bee and Bicycle playing cards have been in existence for over 100 years. Owner-operators Martin Franklin and Ian Ashken own approximately 5% of the company's shares outstanding. We believe that the current inexpensive financing environment will allow JAH to acquire additional consumer goods brands at a low cost of capital, providing the potential to earn a high return on invested capital. The shares currently trade below 8 times 2011 estimated EPS, and only 1.4 times book value, in spite of a 5-year EPS compound annual growth rate of 40% and a 5-year CAGR in revenue of 13.6%.

Franco Nevada (FNV): Franco Nevada is a gold-focused royalty company that earns revenues associated with the production and sales of various working interests. It is not a mining company – rather it collects royalties on the output of mining companies. This allows them to maintain a portfolio of royalty interests that is diversified across geographic areas and operators, while

avoiding the capital expenditures, revenue volatility and financial leverage commonly associated with exploration and operation of a mine. While the royalties are affected by the price of gold, it is not affected in as direct a manner, or with the results that one might think. The royalty contracts are purchased at deep discounts to the ultimate value of the ore each mine will produce, such that even in the event of flat gold prices and stable production, Franco Nevada should earn a significant double-digit return, and can even earn positive returns during extended periods of declining gold prices. The company is able participate in the appreciation of gold prices, yet has downside protection through the royalty agreement structure. One can make compelling arguments for both over and undervaluation of gold at current prices, however, we are not in the business of speculation through investments in gold miners and or spot gold prices. We believe that the stable cash flows and lack of debt justify Franco Nevada trading at a premium to the much riskier gold mining "peer companies," which are not, in fact, peers.

Liberty Capital (LCAPA): Liberty Capital acts as the media investment vehicle of Liberty Media Corporation and owns affiliate interests in LiveNation and SiriusXM, the satellite radio company. Owner-operator John Malone controls 43.14% of the voting rights (in preference shares), and has retired 41% of Liberty Capital shares since the company's formation. Mr. Malone is well-established as a savvy capital allocator, and is likely to monetize the affiliate and investment company stakes at even higher rates of return. As an example of Mr. Malone's record, he invested approximately \$500 million in recourse debt of SiriusXM in early 2009 (at the depth of the liquidity crisis)—his investment has been repaid in full, and Liberty Capital still owns convertible preferred shares worth over \$4 billion. Due to the accounting methods utilized for such affiliate stakes, the balance sheet understates fair value by nearly \$4 billion. If we adjust the book value for this understatement, Liberty Capital trades at a 25% discount to net asset value.

Sears Holdings (SHLD): Sears Holdings, the operator of Sears and Kmart stores, is also the owner of proprietary brands such as Lands End, Craftsman, DieHard and Kenmore. Owner-operator Ed Lampert owns over 60% of SHLD shares outstanding between his personal holdings and those of his investment company. Since becoming Chairman following the merger of Kmart and Sears, Mr. Lampert has retired 78% of shares outstanding. These share repurchases, combined with cost reductions and acquisitions have contributed to a dramatic increase in book value per share since 2003 and, perhaps more importantly, have increased the number of square feet of real estate per share at a double digit annual rate. In addition to the widely-known retail outlets and brands, Sears owns over 90 million square feet of retail real estate space. In our view, the value of this real estate space is not reflected in current market valuations of the company. In order to maximize cash flows through the sale or lease of underperforming properties, the company created the SHC Realty division. SHC Realty not only leases and sells full lots, but also maximizes each property through the lease of off lots, demised space and separated in-line retail lots. Considering the current uncertainty with regard to the economy, particularly the real estate market, investors have failed to properly recognize this endeavor which is likely to produce exceptional long-term value. Sears is currently trading at less than .90 times stated book value which, as evidenced by the low real estate carrying value, is a significant discount to intrinsic value, in our view. A variety of exercises that assign an appropriate value to the real estate will suggest that the proper share price is vastly higher.

DreamWorks Animation (DWA): DWA, producer of such animated hits such as the Shrek, Madagascar and Kung Fu Panda franchises is run by owner-operators Steven Spielberg, Jeff Katzenberg and David Geffen, who collectively control over 70% of the voting shares. Given the

nature of the film business, DWA shares tend to fluctuate with the most recent box office results, while the film library appears to be underappreciated. The library is held on the balance sheet at \$384 million, despite generating \$133 million in revenue in 2010. Once a film enters the library, additional sales of the film or its characters, whether through DVDs, retransmission/streaming rights, or licensing agreements are at nearly no cost to the company. The library expands with every film, every year. While DVD sales are slumping across the industry, DWA is redirecting assets and effort to digital retransmission markets (streaming content). Content is becoming more valuable as distribution methods become more plentiful and accessible. The company holds no debt, has averaged a 20% net margin over the last five years and has achieved a normalized 15% return on equity over that period, yet it is currently valued at less than twice its net working capital value.

Henderson Land (HLDVF): Henderson Land is a property developer with businesses in Hong Kong and mainland China. It also controls, among other companies, Hong Kong & China Gas, the monopoly natural gas utility company in Hong Kong. Its common stock is currently available at a significant discount to net asset value, primarily owing to concerns about the government's focus on price stability, which may lead to slowed growth. However, the company owns development properties in core expansion areas across the country, which have the potential for significant appreciation in value in the fullness of time. The preponderance of the company's land and real estate assets are concentrated in Hong Kong – a much scarcer real estate market compared to mainland China. The company reported strong revenue and earnings growth for the first half of 2011, as well as high occupancy rates for their investment properties. If the company's investments in Hong Kong & China Gas, TownGas China, Hong Kong Ferry and Henderson Investments Ltd. are considered, the discount to book/NAV is even more pronounced. Lee Shau Kee (Chairman, Managing Director and founder) who, along with his family controls over 50% of the company, earlier this year invested \$1.3 billion to acquire an additional 4% of the shares.

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